

Customer Value Analysis

1. Overview

Analysis of customer purchasing behavior, revenue contribution, and retention patterns in order to identify the company's most valuable customers, understand revenue concentration, and evaluate dependency on repeat customers.

2. Key Insights

2.1. Customer Revenue Concentration

- Revenue is highly concentrated among repeat customers.
- Repeat customers generate 93.08% of total revenue, indicating strong dependency on customer retention.
- The top 10 customers account for 17.26% of total revenue.
- High Segment repeat customers dominate the highest revenue-generating customer group.

2.2. Revenue Distribution Across Customer Segments

- Revenue is unevenly distributed across customer segments.
- Low and High customer segments together contribute 87.12% of total revenue.
- High Segment customers represent a smaller portion of the customer base but generate significantly higher revenue per customer.
- Low Segment repeat customers are the largest overall revenue-driving group.

2.3. Customer Retention & Purchasing Behavior

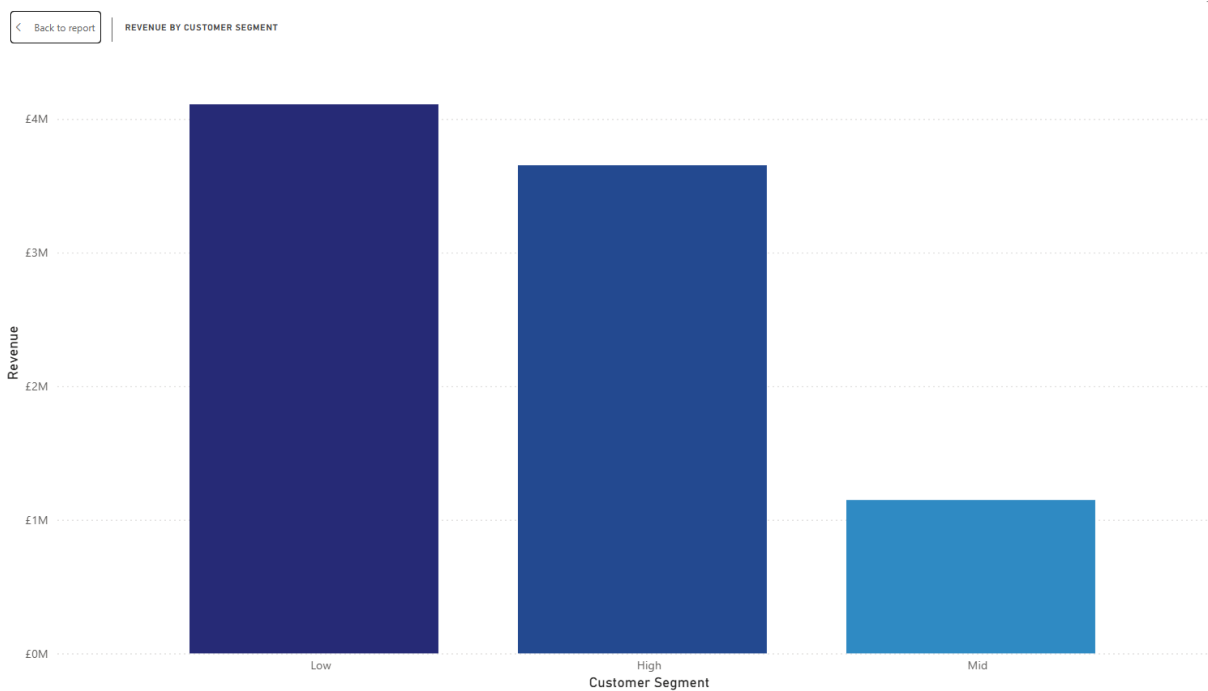
- Repeat customers are the primary revenue driver for the business.
- The majority of customers place between 1-5 orders.
- Customers with low order frequency still contribute a substantial share of total revenue.
- Loyal repeat customers consistently generate the highest customer lifetime value.

2.4. High-Value Customer Trends

- The top customers by revenue are predominantly repeat buyers.
- 9 out of 10 top 10 revenue-generating customers are repeat customers.
- One exceptionally high-value one-time purchase (£77,183.60) appears as an outlier within the dataset.
- This suggests that while retention is critical, occasional bulk purchases can also significantly impact revenue.

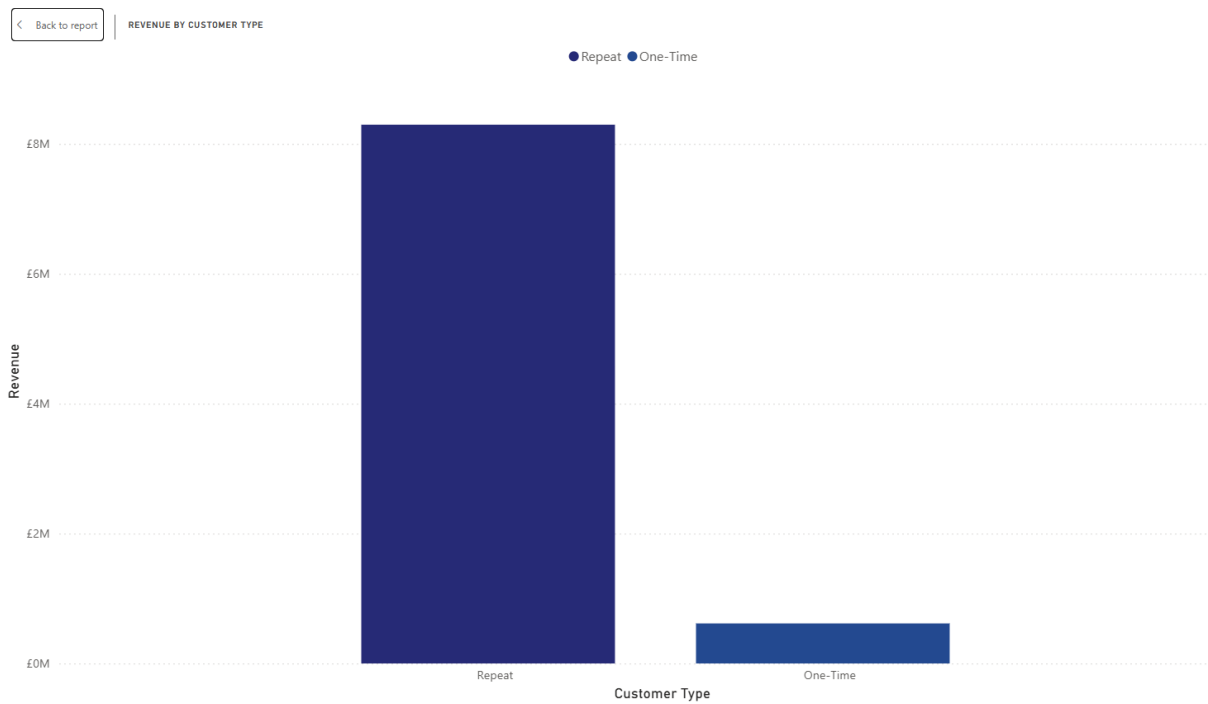
3. Key Visualizations

3.1. Revenue by Customer Segment



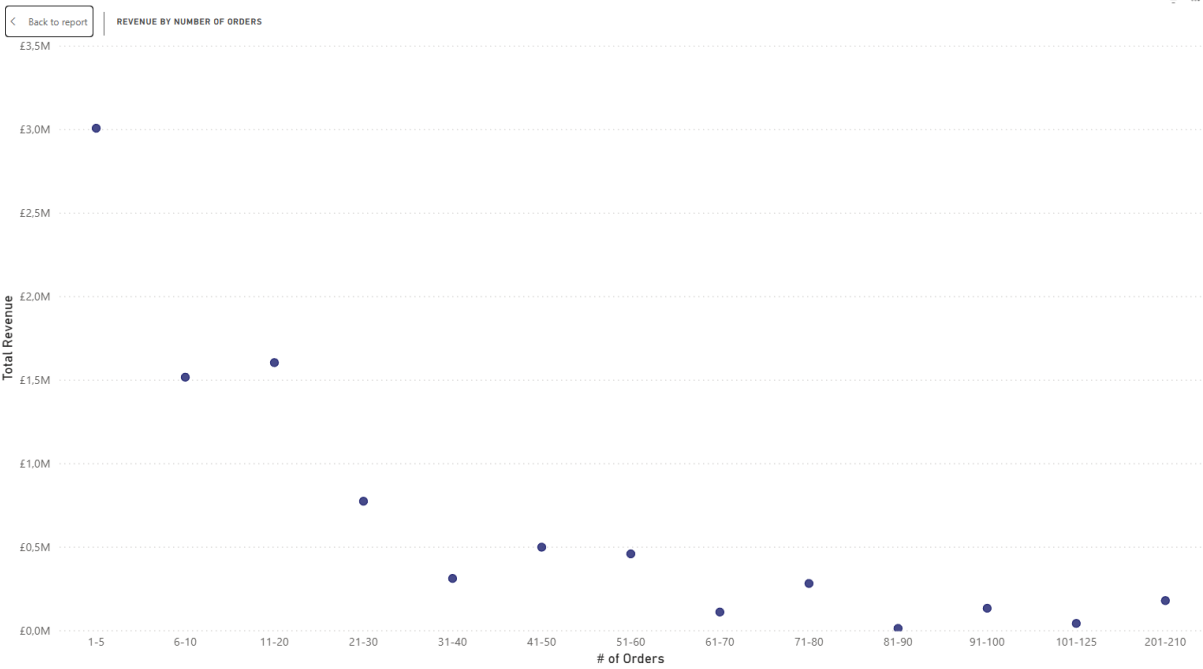
Revenue contribution across Low, Mid, and High customer segments.

3.2. Revenue by Customer Type



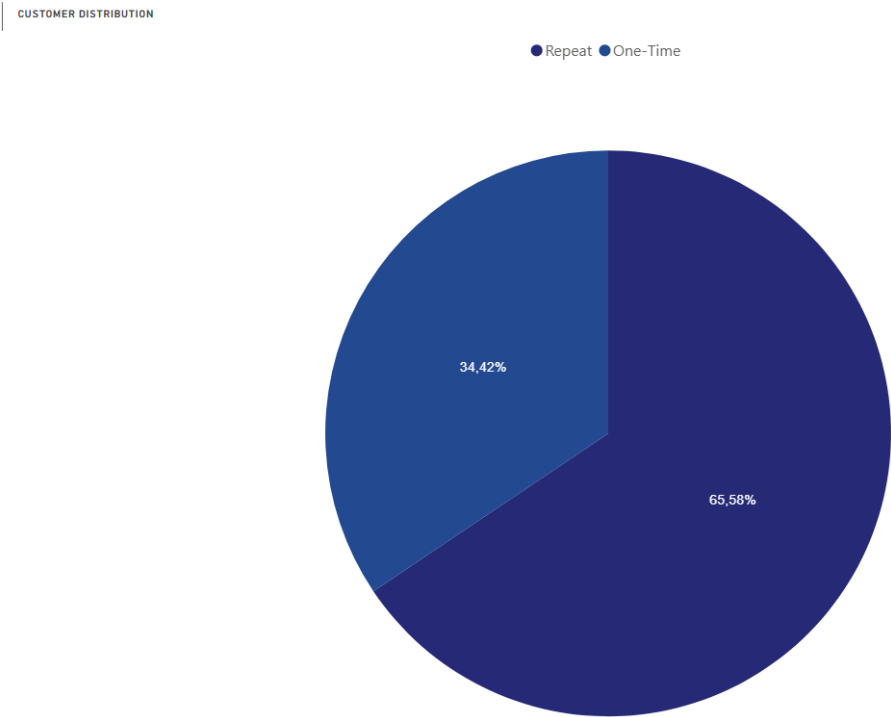
Revenue split between Repeat and One-Time customers.

3.3. Revenue by Number of Orders



Relationship between customer order frequency and revenue generation.

3.4. Customer Segment Distribution



Proportion of customers within each segment category.

3.5. Top 10 Customers by Revenue

Top 10 Customers by Revenue



Customer ID	Segment	Type	Total Orders	Total Revenue
14646	High	Repeat	74	£280 206,02
18102	High	Repeat	60	£259 657,30
17450	High	Repeat	46	£194 550,79
16446	High	Repeat	2	£168 472,50
14911	High	Repeat	201	£143 825,06
12415	High	Repeat	21	£124 914,53
14156	High	Repeat	55	£117 379,63
17511	High	Repeat	31	£91 062,38
16029	High	Repeat	63	£81 024,84
12346	High	One-Time	1	£77 183,60
Total			554	£1 538 276,65

Highest revenue-generating customers.

4. Business Recommendations

4.1. Strengthen Customer Retention Strategies

- The business is heavily reliant on repeat customers for revenue generation.
- Focus should be placed on:
 - ➔ Loyalty programs
 - ➔ Personalized marketing campaigns
 - ➔ Customer retention incentives
 - ➔ Email remarketing strategies

4.2. Develop High-Value Customer Programs

- High Segment customers generate substantial revenue despite representing a smaller share of customers.
- The company should consider:
 - ➔ VIP customer programs
 - ➔ Exclusive offers
 - ➔ Early access promotions
 - ➔ Dedicated customer support initiatives

4.3. Increase Mid-Segment Customer Growth

- Mid Segment customers contribute less overall revenue compared to Low and High segments.
- Opportunities may exist to:
 - ➔ Upsell existing customers
 - ➔ Encourage higher order frequency
 - ➔ Increase average order value through bundled offers

4.4. Monitor Revenue Concentration Risk

- Revenue concentration among a relatively small number of customers increases business risk.
- Heavy dependence on loyal repeat customers may create vulnerability if customer churn increases.
- The company should:
 - ➔ Expand acquisition strategies
 - ➔ Improve customer diversification
 - ➔ Reduce overreliance on top spenders

5. Conclusion

This analysis highlights that the business is strongly dependent on repeat customers and a relatively small group of high-value buyers. Revenue distribution is concentrated across specific customer segments, with repeat purchasing behavior playing a critical role in overall business performance. Strategic focus should be placed on customer retention, high-value customer management, and expanding customer diversification to support sustainable long-term growth.